California. The idea had worked in Sacramento; why not in Washington?

There was lots of ground for his group to cover. As Grace has pointed out, the federal government is the world's largest power producer, insurer, lender, borrower, operator of hospitals, landowner, tenant, holder of grazing land, timber seller, grain owner, warehouse operator, shipowner, and truck-fleet operator. He recruited more than two thousand volunteer businessmen from around the country to review all aspects of federal operations, and produced a report with 2,478 recommendations on how to make those operations more efficient. I think it should be required reading for anyone interested in how the federal government operates.

These volunteers discovered things going on in government that businesses hadn't been doing for a generation. The examples of waste and mismanagement they found are so numerous they could fill a book by themselves, but here are a few examples:

• It cost the Veterans Administration between $100 and $140 to process (not pay) a medical claim—versus $3 to $6 for doing the same thing at private insurance companies.

• The army spent an average of $4.20 on administrative costs to issue a paycheck, versus an average of $1 in private business.

• Although the federal government accounts for about one-quarter of all economic activity in the country, it had no centralized system of management for its financial and accounting operations, resulting in waste, inefficiency, and constant problems of the left hand not knowing what the right hand was doing. There were 132 different payroll systems and 380 different and incompatible accounting systems used by government agencies. The utilization of antiquated cash-flow management techniques instead of modern electronic funds-transfer systems alone cost